

China: Three things in China

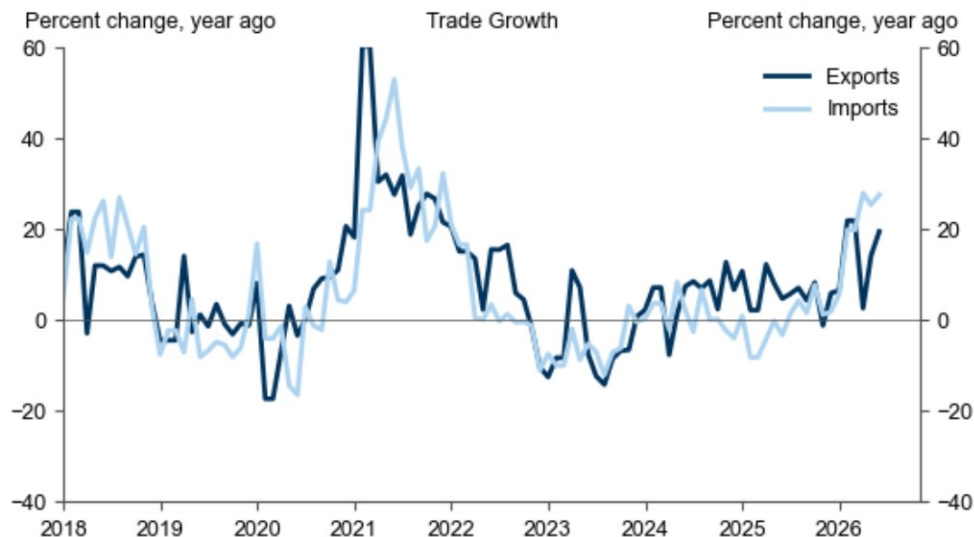
Three quick highlights from China:

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- **Trade data beat expectations:** China's exports and imports increased 19.4% yoy and 27.5% yoy, respectively, in May, both above market expectations. The ongoing AI capex boom has been a major contributor to China's strong trade growth. Semiconductors and automatic data processing machines (including data center equipment) together accounted for approximately half of export and import growth in May.

China's trade growth accelerated in May



Source: China Customs

- **PPI inflation climbed but CPI inflation unchanged:** PPI inflation increased from 2.8% yoy in April to 3.9% yoy in May. However, upstream price increases did not translate into higher consumer prices: CPI inflation stayed unchanged at 1.2% yoy in May. The lack of transmission points to weak end-user demand. Credit data show that loan demand is indeed soft. For the May activity data to be released on Tuesday, June 16, we expect both retail sales and fixed asset investment to decline year-on-year.

Year-over-year PPI inflation increased further from April to May



Source: NBS

- **Policy chatter:** A [recent Bloomberg article](#) on the Chinese government's plan to spend RMB2tn on data center construction has attracted market attention. However, this is not new and was part of the "Six Networks" laid out in the [15th Five-Year Plan](#) in March: water networks, new-type power grids, computing power networks (including data centers), next-generation communication networks, urban underground pipeline networks, and logistics networks. These areas will be a key focus of investment over the next few years. For example, at the March ["Two Sessions"](#), NDRC head Zheng Shanjie noted that China's investment in the "Six Networks" could exceed RMB7tn (5% of GDP) this year.

Recent GS China macro research

Thematic research:

[Asia in Focus: Cost of China's Retail Fuel Price Management Modest and Sustainable](#), 5 June 2026

[Asia Economics Analyst: China: Investment Share of GDP on Structurally Declining Path](#), 31 May 2026

[Asia in Focus: China's Import Boom and Narrowing Surplus: Gold Leads the Drag, Energy and AI Stay Contained](#), 31 May 2026

Data comments and trackers:

[China Economic Activity and Policy Tracker: June 12](#), 12 June 2026

[AEJ Week Ahead: China May activity data; central bank meetings in Taiwan, Philippines, and Indonesia](#), 12 June 2026

[China: Credit growth surprised to the upside in May, but details show weak credit demand](#), 12 June 2026

[China: Media reported RMB 2 trillion data center investment not new news](#), 12 June 2026

[China: Energy-led PPI increased further in May, while core CPI softened](#), 10 June 2026

[China: Trade growth accelerated in May, 9 June 2026](#)

[China: Unofficial services PMI rose in May, 3 June 2026](#)

[Hong Kong: PMI increased in May, 3 June 2026](#)

[Hong Kong: Retail sales fell in April, 2 June 2026](#)

[China: Unofficial China manufacturing PMI fell in May, 1 June 2026](#)

[China: Official manufacturing PMI fell while non-manufacturing PMI rose in May, 31 May 2026](#)

Team presentation materials and webinar replays:

[Macro & Strategy | Global Views, China activity data, Market Strategy \(H-shares down to Marketweight\) \(In Mandarin\), 8 June 2026](#)

[China: GS China Economic Outlook: June 2026 \[Presentation\], 2 June 2026](#)

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